

Financial bubbles



During the Dutch 'tulip mania' of the 17th century, the price of some flowers exceeded many workers' annual incomes.

Like a bubble, prices of assets such as stocks or property can sometimes seem to rise ever upwards. Prices often rise for good reason, but during a bubble the price rises above the fundamental value of the asset. Bubbles are an example of economic irrationality – people stop making decisions based on the true value of an asset but instead follow the herd. They buy the good – technology stocks in the early 21st century, tulips in the 17th – merely because they see that other people are buying it and believe that they will be able to sell it for a higher price in the future.

At first the prophecy is self-fulfilling – enthusiasm for the good pushes up the price and soon more investors join in a collective

frenzy of buying, leading to an increasingly inflated price. Eventually, however, the process stalls and the market crashes. People seem to think that prices will go on rising forever, or at least that they will eventually be able to sell on their asset to someone who *isn't* able to foresee the bursting of the bubble.